

announced it would repurchase about 30 percent of its shares by way of Dutch tender. Seeing an arbitrage opportunity, I began buying the stock for Berkshire, expecting to tender our holdings at a small profit.”³⁰

But he changed his mind. The original plan had been to tender Berkshire’s shares at the Dutch auction “but then I began studying the company,” said Buffett, “and the accomplishments of Bill Anders in the brief time he’d been CEO. And what I saw made my eyes pop. Bill had a clearly articulated and rational strategy; he had been focused and imbued with a sense of urgency in carrying it out; and the results were truly remarkable.”³¹ Buffett abandoned his thoughts of arbitraging General Dynamics and instead decided to become a long-term shareholder.

Clearly, Buffett’s investment in General Dynamics was a testament to Bill Anders’s ability to resist the institutional imperative. Although critics have argued that Anders liquidated a great company, Anders argues he simply monetized the unrealized value of the company. When he took charge in 1991, the stock of General Dynamics was trading at a 60 percent discount to book value. In the 10 previous years, General Dynamics had returned to shareholders a compounded annual return of 9 percent compared to the 17 percent for the 10 other defense companies and a 17.6 percent return for the Standard & Poor’s 500 index. Buffett saw a company that was trading below book value, generating cash flow, and embarking on a divestiture program. Additionally, and most importantly, management was shareholder-oriented.

Although General Dynamics had earlier thought that the aircraft and space systems divisions would remain core holdings, Anders decided to sell these businesses. The aircraft business was sold to Lockheed. At the time, General Dynamics, Lockheed, and Boeing were one-third partners in the development of the next generation of tactical fighter, the F-22. By buying General Dynamics’ aircraft division, Lockheed acquired the mature F-16 business and became a two-thirds partner with Boeing on the F-22 project. The space systems business was sold to Martin Marietta, maker of the Titan family of space launch vehicles. Together, selling the two businesses provided General Dynamics with \$1.72 billion.

Flush with cash, the company again returned the money to its shareholders. In April 1993, the company issued a \$20 per share special